

23STCV07182 23STCV07182

County: los-angeles

Division: Civil Law and Motion

Department: 1

Hearing date: 2026-07-10

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=SS%20%2C1%2C07%2F10%2F2026

Source SHA-256: 7ebbcf3be6c78f06d476a61303c4516d7fcc1082cddd23c6e3e999b1af405aca

Case Number: 23STCV07182 Hearing Date: July 10, 2026 Dept: 1

Final

Approval of Class Action Settlement

Department SSC-1

Hon. Theresa M. Traber

Cesar Ibarra v. Leuen, Inc.

Case

No.: 23STCV07182

Hearing Date:

July 10, 2026

TENTATIVE RULING

The Court hereby GRANTS final approval and awards/approves the following:

(1) \$50,000

for attorney fees to Class Counsel, Blackstone

Law, APC; (2) \$20,802.12 for attorney costs to Class Counsel; (3)

enhancement payment of \$7,500 to

the class representative, Cesar

Ibarra; (4) \$6,500 (65% of \$10,000 PAGA

penalty) to the LWDA; and (5) \$6,250 for settlement administration costs

to Apex Class Action, LLC.

Plaintiff's counsel shall file a proposed Order and Judgment, consistent with this ruling containing all requisite terms, including the class definition, release language, and a statement that no class members requested exclusion. The Court orders class counsel to file a final report summarizing all distributions made pursuant to the approved settlement, supported by declaration. The Court will set a non-appearance date for review of the final report for _____, with the report to be filed at least five court days beforehand.

BACKGROUND

Plaintiff

Cesar Ibarra sues his former employer, Defendant Leuen, Inc. dba The Original Pantry Cafe, for alleged wage and hour violations. Defendant was a coffee shop and restaurant located in Los Angeles that opened in 1924 and closed on March 10, 2025. Plaintiff seeks to represent a class of Defendant's current and former non-exempt employees.

On

April 3, 2023, Plaintiff filed a Class Action Complaint for Damages against Defendant alleging causes of action for: (1) Violation of Cal. Labor Code §§ 510 and 1198 (Unpaid Overtime); (2) Violation of Cal. Labor Code §§ 1194, 1197 and 1197.1 (Unpaid Minimum Wages); (3) Violation of Cal. Labor Code §§ 226.7 and 512(a) (Unpaid Meal Period Premiums); (4) Violation of Cal. Labor Code § 226.7 (Unpaid Rest Period Premiums); (5) Violation of Cal. Labor Code § 226(a) (Failure to Provide Accurate Wage Statements); (6) Violation of Cal. Labor Code §§ 201, 202 and 203 (Final Wages Not Timely Paid); (7) Violation of Cal. Labor Code §§ 2800 and 2802 (Failure to Reimburse Necessary Business Expenses); and (8) Violation of Cal. Business & Professions Code § 17200, et seq. (Unfair and Unlawful Business Practices).

On

April 15, 2024, the Parties participated in a formal mediation conducted by Jason Marsili, Esq., which ultimately resulted in settlement after further negotiations and with the assistance of the mediator's evaluations. The terms of settlement are finalized in the long-form Joint Stipulation of Class Action and PAGA Settlement ("Settlement Agreement"), a copy of which was filed with the Court on October 6, 2025.

On

October 29, 2025, Plaintiff filed a First Amended Class and Representative Action Complaint (“Operative Complaint”), which added a cause of action under the Private Attorneys General Act of 2004 pursuant to California Labor Code Section 2698 et seq. (“PAGA”).

On

March 4, 2026, the Court granted preliminary approval of the settlement.

Notice was given to

the Class Members as ordered (see Declaration of Missy Carey (“Carey Decl.”).) Now before the Court is the Motion for Final Approval of the Settlement.

SETTLEMENT

CLASS DEFINITION

.

“Class” or “Class Member(s)” means all current and former hourly-paid and/or non-exempt employees who worked for Defendant in the State of California at any time during the Class Period. (¶9.b)

.

“Class

Period” means the period from April 3, 2019 through March 10, 2025. (¶9.f)

.

“PAGA

Employee(s)” means all current and former hourly-paid and/or nonexempt employees who worked for Defendant in the State of California at any time during the PAGA Period. (¶9.y)

.

“PAGA

Period” means the period from August 25, 2024 through March 10, 2025. (¶9.aa)

.

“Settlement

Class” or “Settlement Class Member(s)” means all Class Members who do not submit a timely and valid Request for Exclusion. (¶9.mm)

TERMS
OF SETTLEMENT AGREEMENT

The essential terms are as
follows:

.

The Gross

Settlement Amount ("GSA") is \$150,000, non-reversionary.

(¶9.q)

o Escalator Clause: Defendant has represented that the Class Members worked a total of 9,800 Workweeks during the Class Period. If it is determined by the Settlement Administrator that the total number of Workweeks worked by the Class Members during the Class Period actually exceeds 9,800 by more than 10% (i.e., if the Workweeks exceed 10,780), then the Gross Settlement Amount will be increased on a pro rata basis equal to the percentage increase in the number of Workweeks worked by the Class Members above 10%. For example, if the number of Workweeks increases by 11% to 10,878 Workweeks, then the Gross Settlement Amount will increase by 1%. (¶16)

o At final approval, the settlement administrator represents that the finalized Class List consisted of a total of 107 individuals identified as Class Members who worked 9,776 Workweeks. Accordingly, the Escalator Clause of the Settlement Agreement was not triggered. (Carey Decl., ¶5.)

.

The

Net Settlement Amount ("Net") estimated at preliminary approval (\$51,250) is the GSA minus the following:

o Up to \$50,000
(33 1/3%) for
attorney fees (¶12);

o Up to \$25,000 for litigation costs (Ibid.);

o Up to \$7,500 for an Enhancement
Payment to each Named Plaintiff (¶13);

o Up to \$6,250 for settlement
administration costs (§15); and

o Payment of \$10,000 PAGA penalty (65%
or \$6,500 to the LWDA). (§14)

.

Defendant

shall pay the Employer Taxes in addition to the Gross Settlement Amount. (§9.I)

.

There

is no claim form requirement. (Notice p. 1)

.

Individual Settlement Payment Calculation: After

Final Approval, the Settlement Administrator will divide the final Net

Settlement Amount by the Workweeks of all Settlement Class Members to yield the

“Final Workweek Value,” and multiply each Settlement Class Member’s individual

Workweeks by the Final Workweek Value to each Settlement Class Member’s final

Individual Settlement Share. (§17.b)

o PAGA Payments: The Settlement Administrator

will divide the PAGA Employee Amount, i.e., 35% of the PAGA Amount, by the Pay

Periods of all PAGA Employees to yield the “Pay Period Value,” and multiply

each PAGA Employee’s individual Pay Periods by the Pay Period Value to yield

each PAGA Employee’s Individual PAGA Payment. (§18)

o Tax Allocation: Class Members’ Individual Settlement Shares

will be allocated as follows: 20% as wages, 80% as interest, penalties and

non-wage damages. Each Individual PAGA Payment will be allocated as one hundred
percent (100%) penalties. (§19)

.

Response Deadline: “Response Deadline” means the

deadline by which Class Members must submit a Request for Exclusion, Notice of

Objection, and/or Dispute, which shall be the date that is forty-five (45)

calendar days from the initial mailing of the Class Notice by the Settlement

Administrator to Class Members, unless the 45th day falls on a Sunday or

Federal holiday, in which case the Response Deadline will be extended to the next day on which the United States Postal service is open. The Response Deadline may also be extended by express agreement between Class Counsel and Defendant's Counsel. If a Class Notice is re-mailed to a Class Member, the Response Deadline for that Class Member shall be extended fifteen (15) calendar days from the original Response Deadline. (§19.jj)

o

If more than ten percent (10%) of the Class Members submit timely and valid Requests for Exclusion, Defendant may elect to rescind the Settlement Agreement. (§132)

.

Funding

of Settlement: No later than five (5) business days after the Effective Date, Defendant will deposit the Gross Settlement Amount into a Qualified Settlement Fund ("QSF") within the meaning of Treasury Regulation Section 1.468B-1, et seq., to be established by the Settlement Administrator. Defendant shall provide all information necessary for the Settlement Administrator to calculate necessary payroll taxes including its official name, 8-digit state unemployment insurance tax ID number, and other information requested by the Settlement Administrator, no later than five (5) business days after the Effective Date. (§135)

.

Disbursement:

Within five (5) business days of the funding of the Gross Settlement Amount, the Settlement Administrator will issue the Individual Settlement Payments to Settlement Class Members, Individual PAGA Payments to PAGA Employees, LWDA Payment to the LWDA, Enhancement Payment to Plaintiff, Attorneys' Fees and Costs to Class Counsel, and Settlement Administration Costs to itself. The Settlement Administrator shall also set aside the Employer Taxes and all employee-side payroll taxes, contributions, and withholding, and timely forward these to the appropriate government authorities. (§136)

.

Uncashed Settlement Checks: Each Individual

Settlement Payment and Individual PAGA Payment check will be valid and negotiable for one hundred and eighty (180) calendar days from the date the checks are issued, and thereafter, shall be canceled. Any funds associated with

such canceled checks shall be distributed by the Settlement Administrator to the State of California's Unclaimed Property Division in the name of the Settlement Class Member and/or PAGA Employee. The Parties agree that this disposition results in no "unpaid residue" under California Civil Procedure Code Section 384, as the entire Net Settlement Amount will be paid out to Settlement Class Members, whether or not they cash their settlement checks. Therefore, Defendant will not be required to pay any interest on such amounts. (¶137)

The settlement administrator will be Apex Class Action LLC. (¶19.kk)

The proposed Settlement Agreement was submitted to the LWDA on October 6, 2025. (Rose Decl. ISO Prelim, Exhibit 4.)

Class Settlement Release. Upon the Effective Date and full funding of the Gross Settlement Amount, Plaintiff and all Settlement Class Members will be deemed to have fully, finally, and forever released, settled, compromised, relinquished, and discharged the Released Parties of all Released Class Claims. (¶138)

o "Released Class

Claims" means any and all claims which were alleged or which could have been reasonably alleged based on the factual allegations in the Operative Complaint, arising during the Class Period, which shall specifically include claims for Defendant's alleged failure to pay overtime and minimum wages, provide compliant meal and rest periods and associated premium payments, timely pay wages upon termination, provide accurate wage statements, and reimburse necessary business-related expenses in violation of California Labor Code Sections 201, 202, 203, 226(a), 226.7, 510, 512(a), 1194, 1197, 1197.1, 1198, 2800, and 2802, the applicable Industrial Welfare Commission Wage Order, and California Business and Professions Code sections 17200, et seq. (¶19.ff)

o PAGA Settlement

Release. Upon the Effective Date and full funding of the Gross Settlement Amount, Plaintiff, the State of California with respect to all PAGA Employees,

and all PAGA Employees will be deemed to have fully, finally, and forever released, settled, compromised, relinquished, and discharged the Released Parties of all Released PAGA Claims. (§139)

§ “Released PAGA

Claims” means any and all claims arising from any of the factual allegations in the PAGA Letter and the Operative Complaint, arising during the PAGA Period, for civil penalties under the Private Attorneys General Act of 2004, California Labor Code Sections 2698 et seq., which shall specifically include claims for Defendant’s alleged failure to pay overtime and minimum wages, provide compliant meal and rest periods and associated premium payments, timely pay wages upon termination, provide compliant wage statements, maintain complete and accurate payroll records, and reimburse necessary business-related expenses in violation of California Labor Code Sections 201, 202, 203, 226(a), 226.7, 510, 512(a), 1174(d), 1194, 1197, 1197.1, 1198, 2800, and 2802, and the applicable Industrial Welfare Commission Wage Order. (§19.gg)

§ All PAGA Employees

will be bound to the PAGA Settlement and will be issued their Individual PAGA Payment, irrespective of whether they submit a Request for Exclusion. (§129)

o “Released

Parties” means Defendant and its current and former officers, directors, members, insurers, shareholders, subsidiaries, affiliates, predecessors, successors, and assigns. (§19.hh)

o

The named Plaintiff will also provide a general release and waiver of CC § 1542. (§140)

ANALYSIS OF SETTLEMENT AGREEMENT

A.

Does a presumption of fairness exist?

The Court preliminarily found in its Order of March 4, 2026 that the presumption of fairness should be applied. No facts have come to the Court’s attention that would alter that preliminary conclusion. Accordingly, the settlement is entitled to a presumption of fairness as set forth in the preliminary approval order.

B.

Is the settlement fair, adequate, and reasonable?

The settlement was preliminarily found to be fair, adequate and reasonable. Notice has now been given to the Class and the LWDA.

Reaction of the class members to the proposed settlement.

Number of class members: 107 (Carey Decl., ¶5.)

Number of notice packets mailed: 107 (Id. at ¶7.)

Number of undeliverable notices: 2 (Id. at ¶9.)

Number of opt-outs: 0 (Id. at ¶11.)

Number of objections: 0 (Id. at ¶12.)

Number of participating class members: 107 (Id. at ¶14.)

Average individual payment: \$478.97 (Id. at ¶16.)

Highest individual payment: \$1,617.62 (Ibid.)

The

Court finds that the notice was given as directed and conforms to due process requirements. Given the reactions of the Class Members and the LWDA to the proposed settlement and for the reasons set for in the Preliminary Approval order, the settlement is found to be fair, adequate, and reasonable.

C. Attorney Fees and Costs

Class

Counsel requests an award of \$50,000 in fees and \$20,802.12 in costs. (Memo ISO Final at 20:18-24.) The Settlement Agreement provides for up to \$50,000

(33 1/3%) in fees and \$25,000 in costs (¶12).

“Courts recognize two methods for calculating attorney fees in civil class actions: the lodestar/multiplier method and the percentage of recovery method.” (Wershba v. Apple Computer, Inc. (2001) 91 Cal.App.4th 224, 254.) Here, class counsel request attorney fees using the percentage method, as crosschecked by lodestar. (Memo ISO Final at pp. 13-20.)

In common fund cases, the Court may employ a percentage of the benefit method, as cross-checked against the lodestar. (Laffitte v. Robert Half Int’l, Inc. (2016) 1 Cal.5th 480, 503.) The fee request represents one-third of the gross settlement amount, which is the average generally awarded in class actions. (See In re Consumer Privacy Cases (2009) 175 Cal.App.4th 545, 558, fn. 13 [“Empirical studies show that, regardless whether the percentage method or the lodestar method is used, fee awards in class actions average around one-third of the recovery.”].)

Class Counsel has provided information, summarized below, from which the lodestar may be calculated:

Attorneys

Rates

Hours

Totals

Jonathan M. Genish

\$1,295

23.4

\$30,303.00

Miriam L. Schimmel

\$1,075

75.4

\$81,055.00

Joana Fang

\$750

64.2

\$48,150.00

Alexandra Rose

\$750

18.6

\$13,950.00

Shawn Bahmani

\$650

15.4

\$10,010.00

Totals

197

\$183,468.00

(Declaration of Alexandra Rose ISO Final, ¶132.)

Counsel's percentage-based fee request is lower
than the unadjusted lodestar, and would represent application of a multiplier

of approximately 0.27x.

Here, the fee request represents a reasonable percentage of the total funds paid by Defendant. Notice of the fee request was provided to class members in the notice packet and no one objected. (Carey Decl., ¶12, Exhibit A.)

As for costs, Class Counsel is requesting a cost amount of \$20,802.12. This is less than the \$25,000 cap estimated at preliminary approval, which was not objected to. (Carey Decl., ¶12, Exhibit A.)

Counsel represents that their costs include but are not limited to: filing and service fees, mediation fee, and expert fee. (Rose Decl. ISO Final, ¶34, Exhibit 4.) The costs appear to be reasonable in amount and reasonably necessary to this litigation.

Based on the above, the Court awards \$50,000 in fees and \$20,802.12 in costs.

D. Incentive Award

The class representative, Cesar Ibarra, seeks an enhancement payment of \$7,500 for his contributions to the action. (Memo ISO Final at 21:3-5.)

In connection with the final fairness hearing, named Plaintiffs must submit declarations attesting to why they should be entitled to an enhancement award in the proposed amount. The named Plaintiffs must explain why they “should be compensated for the expense or risk he has incurred in conferring a benefit on other members of the class.”

(Clark v. American Residential Services LLC (2009) 175

Cal.App.4th 785, 806.) Trial courts

should not sanction enhancement awards of thousands of dollars with “nothing more than pro forma claims as to ‘countless’ hours expended, ‘potential stigma’ and ‘potential risk.’

Significantly more specificity, in the form of quantification of time and effort expended on the litigation, and in the form of reasoned explanation of financial or other risks incurred by the named plaintiffs, is required in order for the trial court to conclude that an enhancement was ‘necessary to induce [the named plaintiff] to participate in the suit’” (Id. at 806-807, italics and ellipsis in original.)

Plaintiff represents that his contributions to this litigation include: conferring with his attorneys about the case, searching for and providing employment documents, answering questions, providing information regarding the company's practices and the duties of other hourly-paid and/or non-exempt employees, and reviewing the settlement. He estimates spending 35-40 hours on the case. (Declaration of Cesar Ibarra ISO Final, ¶¶4-9.)

Based on the above,

as well as the benefits obtained on behalf of the class, the Court awards an enhancement payment in the amount of \$7,500 to Plaintiff.

E.

Settlement Administration Costs

The settlement

administrator, Apex Class

Action, LLC, is requesting \$6,250 for the costs of settlement administration. (Carey

Decl., ¶18.) This equals the estimate of \$6,250

provided for in the Settlement Agreement (¶15) and disclosed to class members in the Notice, to which there were no objections. (Carey Decl., ¶12, Exhibit

A.) Based on the above, the Court awards costs in the requested amount of \$6,250.